

Executive Summary

BrightCart generated over **\$1 million** in gross sales during the analysis period; however, profitability varied considerably across product categories, sales channels, and marketing platforms.

The analysis shows that declining margins are primarily driven by:

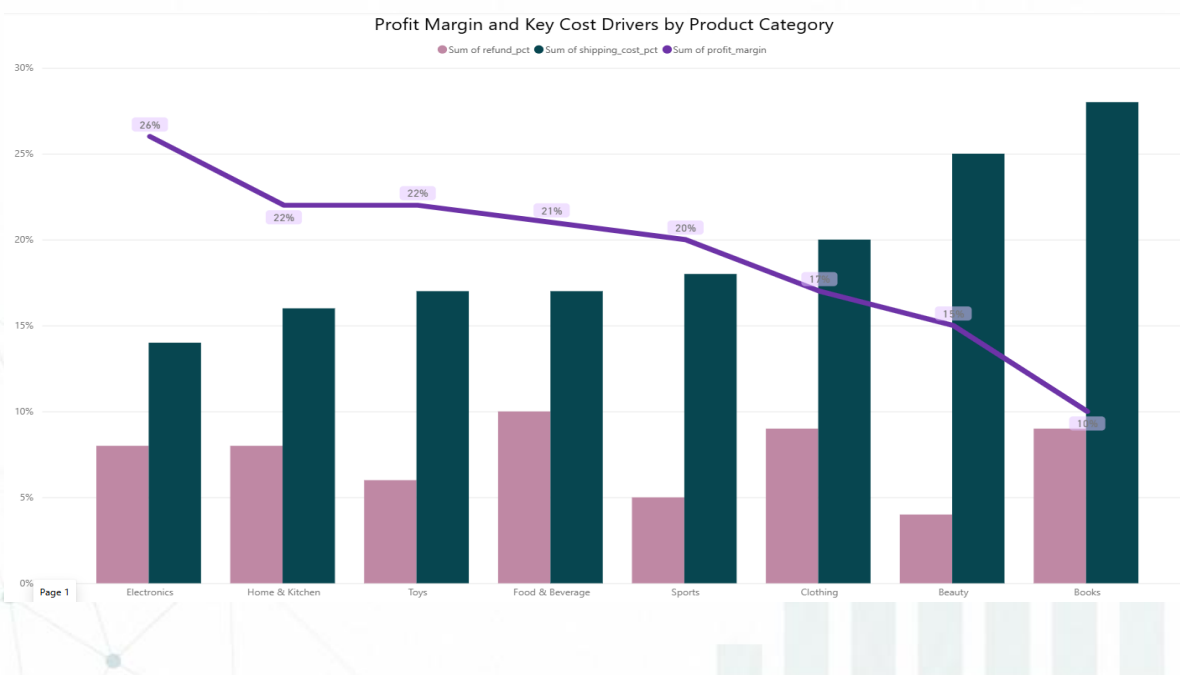
- High shipping costs for selected products
- Revenue lost from returned orders
- Inefficient advertising spends on low-performing platforms

Three key opportunities were identified to improve profitability without negatively affecting revenue growth.

1. Product Category Profitability

Product profitability differs substantially across the eight product categories.

primary_category	total_items_ordered	total_revenue	total_profit	profit_margin	product_cost_pct	shipping_cost_pct	discount_pct	refund_pct	return_rate
Electronics	507	52876	13973	0.26	0.38	0.14	0.07	0.08	0.09
Toys	503	39081	8786	0.22	0.4	0.17	0.08	0.06	0.07
Home & Kitchen	382	30879	6689	0.22	0.4	0.16	0.07	0.08	0.06
Food & Beverage	446	36879	7592	0.21	0.39	0.17	0.07	0.1	0.06
Sports	528	37453	7597	0.2	0.42	0.18	0.08	0.05	0.07
Clothing	554	37516	6272	0.17	0.41	0.2	0.08	0.09	0.08
Beauty	382	20871	3175	0.15	0.41	0.25	0.08	0.04	0.06
Books	456	22413	2250	0.1	0.4	0.28	0.07	0.09	0.08



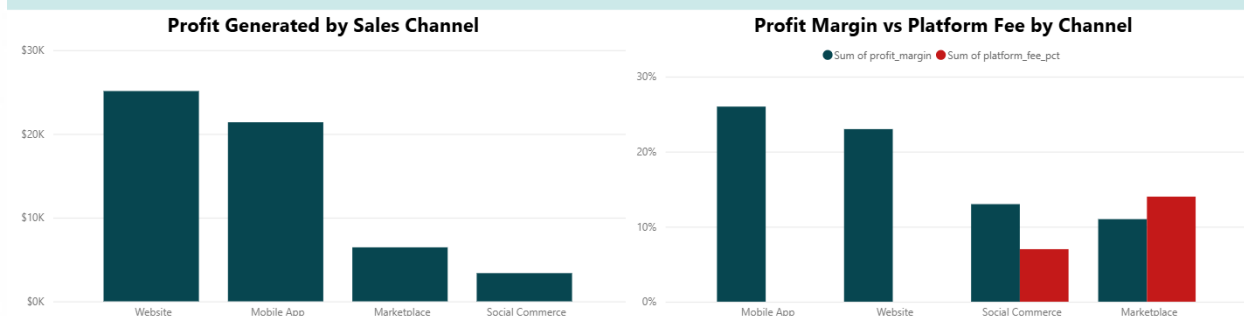
Key Findings

- **Electronics** is the most profitable category with a **26% profit margin**, despite having the highest return rate (9%). Its strong revenue generation more than offsets product and logistics costs.
- **Books** has the lowest profit margin (**10%**). The main driver is **shipping cost**, which represents **28% of revenue**, the highest among all categories. Product cost (40%) and refunds (9%) also reduce profitability.
- **Beauty** records the second-lowest margin (**15%**) because of relatively high product cost (41%) and shipping cost (25%).
- Home & Kitchen and Toys maintain healthy margins while keeping shipping and refund percentages comparatively low.

2. Sales Channel Performance

channel	total_items_ordered	total_revenue	total_profit	profit_margin	avg_profit_per_order	platform_fee_pct
Mobile App	1129	82726	21393	0.26	36.32	0
Website	1468	111165	25118	0.23	31.6	0
Marketplace	784	57631	6452	0.11	15.4	0.14
Social Commerce	377	26447	3371	0.13	17.11	0.07

Profitability by Sales Channel



channel	Total Revenue	Total Profit	Platform Fee %	Profit Margin
Marketplace	\$57,631	\$6,452	14%	11%
Social Commerce	\$26,447	\$3,371	7%	13%
Mobile App	\$82,726	\$21,393	0%	26%
Website	\$111,165	\$25,118	0%	23%

Key Findings

- **Mobile App** is the best-performing sales channel, delivering the highest profit margin and highest average profit per order.
- **Website** also performs strongly with a 23% margin.
- **Marketplace** is the weakest channel due to the highest platform fee (**14% of revenue**), significantly reducing profitability.
- **Social Commerce** performs slightly better than Marketplace but remains well below Website and Mobile App.

3. Return Analysis

primary_category	return_rate	lost_revenue	return_rate_rank	revenue_loss_rank
Electronics	0.09	4305.35	1	1
Food & Beverage	0.06	3713.08	6	2
Clothing	0.08	3448.82	2	3
Toys	0.07	2753.97	4	4
Home & Kitchen	0.06	2548.83	6	5
Books	0.08	2353.74	2	6
Sports	0.07	2159	4	7
Beauty	0.06	923.97	6	8

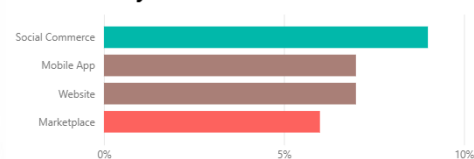
channel	return_rate	lost_revenue	return_rate_rank	revenue_loss_rank
Website	0.07	10000.47	2	1
Mobile App	0.07	5713.24	2	2
Marketplace	0.06	3831.02	4	3
Social Commerce	0.09	2662.03	1	4

Returns & Revenue Impact

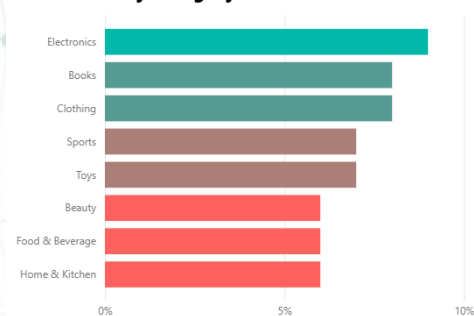
Revenue Lost from Returns

\$22.2K

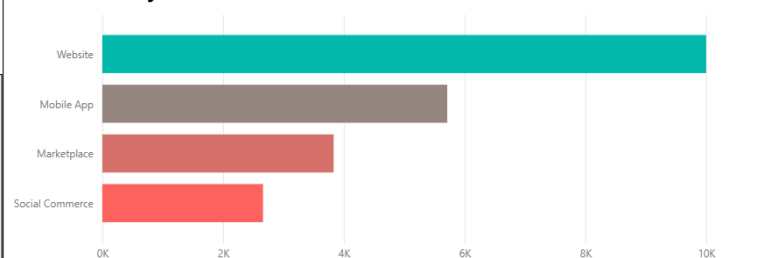
Return Rate by Channel



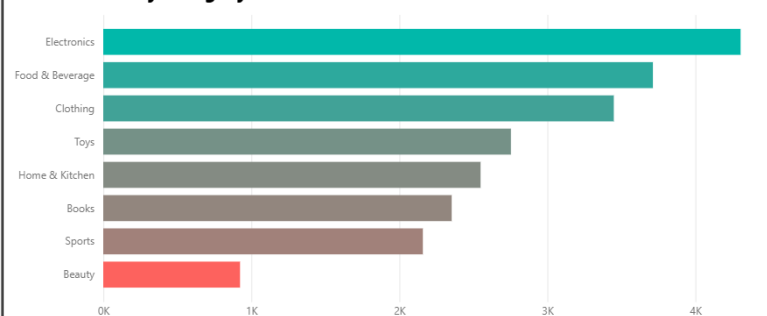
Return Rate by Category



Revenue Lost by Channel



Revenue Lost by Category





Category Returns

Highest return rate:

- Electronics (9%)

Highest revenue lost from returns:

- Electronics (\$4,305)

Lowest revenue lost:

- Beauty (\$924)

Although Electronics experiences the greatest number of returns, it remains the most profitable category because of its significantly higher sales volume and margins.

Channel Returns

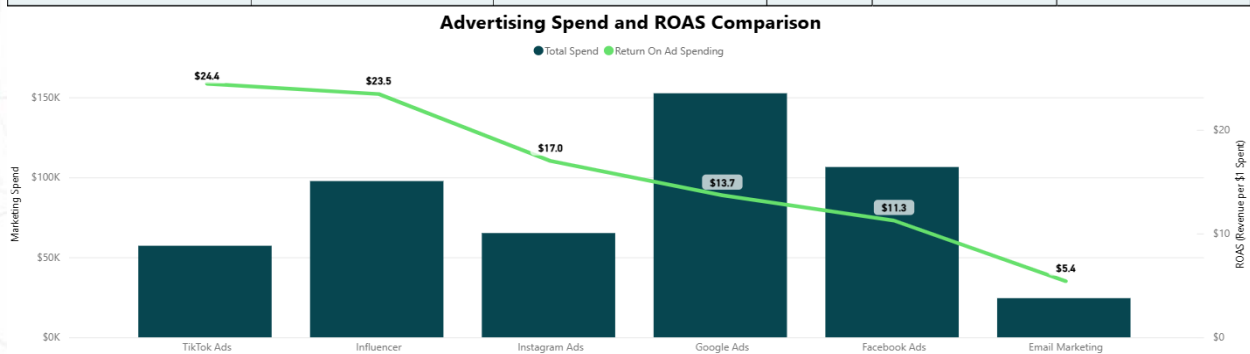
Highest return rate: **Social Commerce (9%)**

Highest revenue lost: **Website (\$10,000)**

Although the Website loses the most revenue in absolute dollars, this is largely explained by its substantially higher sales volume. Social Commerce has the highest proportion of returned orders.

4. Marketing Performance

Advertising Platform Performance & ROAS					
Platform	Total Spend (\$)	Total Revenue (\$)	ROAS	ROAS Rank	Spend Rank
TikTok Ads	\$57,229.22	\$1,374,627.17	\$24.4	1	5
Influencer	\$97,663.12	\$2,216,974.26	\$23.5	2	3
Instagram Ads	\$65,154.02	\$1,024,639.06	\$17.0	3	4
Google Ads	\$152,546.48	\$2,194,120.83	\$13.7	4	1
Facebook Ads	\$106,451.93	\$1,218,572.43	\$11.3	5	2
Email Marketing	\$24,461.37	\$117,681.45	\$5.4	6	6



Key Findings

- **TikTok Ads** delivers the highest marketing efficiency with the strongest ROAS and also the lowest CPA (\$3.93).
- **Influencer campaigns** also generate an excellent return while maintaining a low CPA.
- **Email Marketing** performs significantly worse than every other platform, with:
 - Lowest ROAS (5.41)
 - Highest CPA (\$26.01)
 - Highest CPC (\$1.09)

This indicates that Email Marketing is the least efficient advertising channel.

5. Marketing Efficiency

Budget Optimization Recommendation				
Total Marketing Spend				
\$504K				
20% Budget Reduction Target				
\$101K				



Recommendation

Reduce budget from the lowest ROI platform-month campaigns until cumulative savings reach approximately **\$101K (20% of total marketing spend)**. This preserves high-performing campaigns while achieving the required cost reduction.

Platform	Date	Spend Removed (\$)	ROI	Cumulative Savings (\$)
Email Marketing	2025-12	\$1,797	-0.33	\$1,797
Email Marketing	2025-10	\$792	0.21	\$2,588
Email Marketing	2025-07	\$1,362	0.74	\$3,950
Email Marketing	2024-06	\$943	0.80	\$4,893
Facebook Ads	2025-09	\$3,878	1.51	\$8,771
Email Marketing	2024-10	\$1,041	1.52	\$9,812
Facebook Ads	2024-08	\$5,419	2.09	\$15,230
Email Marketing	2025-06	\$1,294	2.22	\$16,524
Google Ads	2025-03	\$4,709	2.32	\$21,233
Email Marketing	2025-11	\$1,556	2.36	\$22,789
Email Marketing	2024-11	\$1,842	2.37	\$24,631
Email Marketing	2025-02	\$725	2.63	\$25,356
Influencer	2025-01	\$4,482	2.78	\$29,838
Google Ads	2025-09	\$6,501	2.84	\$36,339
Email Marketing	2024-09	\$723	2.89	\$40,927
Google Ads	2025-02	\$3,865	2.89	\$40,927
Google Ads	2025-07	\$5,844	3.27	\$46,771
Facebook Ads	2025-11	\$6,884	3.44	\$53,655
Influencer	2025-09	\$2,372	3.57	\$56,027
Facebook Ads	2025-03	\$4,233	3.60	\$60,260
Email Marketing	2024-01	\$869	3.86	\$61,129
Email Marketing	2024-04	\$956	3.89	\$62,085
Email Marketing	2024-08	\$1,193	3.97	\$67,547
Influencer	2024-11	\$4,269	3.97	\$67,547
Facebook Ads	2025-01	\$2,368	4.01	\$69,915
Email Marketing	2025-04	\$724	4.43	\$70,645

Lower CPA and CPC indicate more efficient customer acquisition.

TikTok and Influencer campaigns clearly outperform the remaining platforms.

Business Recommendations

1. Reallocate Marketing Budget

Reduce advertising spend on campaigns with consistently low ROI—particularly **Email Marketing** and low-performing campaign months—and reallocate budget toward **TikTok Ads** and **Influencer Marketing**, which generate substantially higher returns.

2. Improve Logistics for Low-Margin Categories

The **Books** category has the lowest profitability primarily because shipping represents **28% of revenue**.

Negotiating shipping costs, increasing minimum order value, or bundling products could significantly improve margins.

3. Reduce Product Returns

Returns remain a meaningful source of revenue loss, especially in **Electronics** and **Social Commerce**.

Improving product descriptions, product images, and customer expectations before purchase could reduce return rates and protect profitability.

Overall Conclusion

The analysis indicates that Bright Cart's profitability challenge is **not caused by weak revenue**, but by **cost structure and marketing allocation**.

The business can improve profitability by:

- reallocating marketing budget toward high-ROAS platforms,
- reducing logistics costs in low-margin categories,
- lowering return rates in high-return segments.

These actions would improve overall margins while preserving revenue growth and customer acquisition.